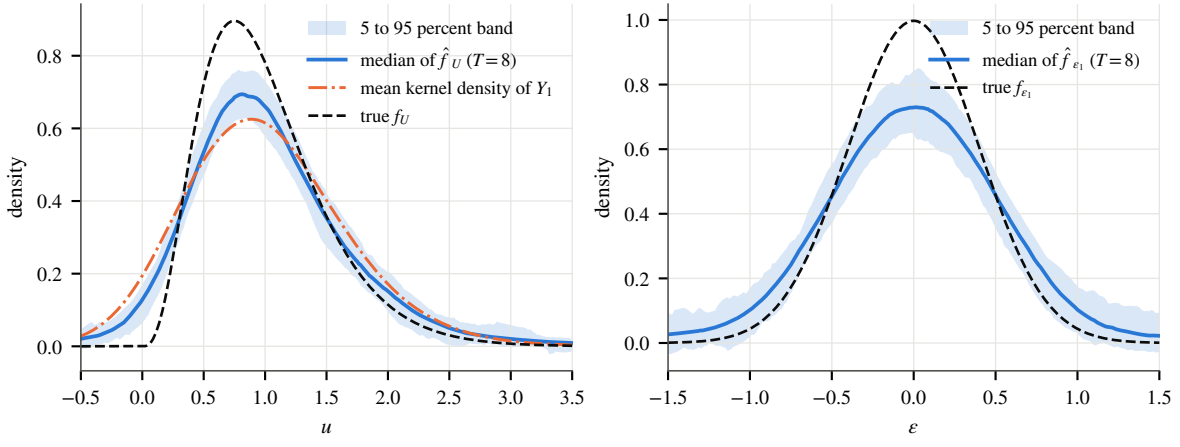
(a) Common component U
5 to 95 percent band
median of $\hat{f}_U$ $(T=8)$
mean kernel density of Y_1
true f_U
density
u
(b) Idiosyncratic component ε_1
5 to 95 percent band
median of $\hat{f}_{\varepsilon_1}$ $(T=8)$
true f_{ε_1}
density
ε